Team 6

KIX

Business Thesis

A shoe rack with built-in mechanisms that removes and stores shoes in one step, helping senior living facilities support residents' independence by making everyday shoe removal easier.



Ben Gibson



Yi Huang



Polly Parsons



Davis Rattanavijai

Customer Segments

Start with senior living facilities, then grow into student agencies and family homes

Beachhead: Senior Living Facilities



Senior living communities seeking products that make everyday routines easier and support greater independence for residents who have difficulty bending down to remove and store their shoes

- Target senior living facilities first because their residents are more likely to experience difficulty bending down to remove and store shoes
- Predict facilities will value a solution that supports greater resident independence while reducing the need for staff to assist residents with taking off and putting away their shoes

Student Rental and Campus Service Agencies



Organizations that already rent dorm essentials to college students and want new, differentiated products that can generate recurring rental revenue without adding significant operational complexity

Clutter-Conscious Families with Children



Families with multiple children and many pairs of shoes who want an easier way for everyone to consistently put shoes away and keep the entryway clean and organized

Value Proposition

One-step shoe storage: less staff time, new rental revenue, and clutter-free homes

Assisted / Independent Senior Living Facilities

Reduce staff assistance while increasing resident independence

Helps residents independently remove and store their shoes, potentially reducing repetitive staff assistance and freeing caregiver time for higher-priority resident needs.



Student Rental and Campus Service Agencies

Increase revenue per student with a differentiated rental offering

Agencies can offer the shoe rack as an additional dorm-living product to students already using their rental services, creating an opportunity to increase order value without needing to acquire new customers or build a new distribution channel.



Clutter-Conscious Families with Children

A cleaner entryway with less effort from parents

By making shoe removal and storage a single, easy action, children can put their own shoes away as they take them off, helping prevent clutter without parents constantly organizing shoes or reminding them.



Assessment of Scalability

Replicable senior living facility partnerships and a standardized design let us scale from to households at a lower cost per unit

Foundation for expanding nationally

Senior living facilities exist across markets nationwide, creating a repeatable B2B model where each new facility or facility group can provide access to multiple residents through a single purchasing relationship.

Manufacturing gets cheaper at scale

A standardized, passive design enables mass production and bulk purchasing, reducing per-unit costs as volume grows

Business Model Canvas

A value-priced asset sale to senior living facilities, starting small and scaling with proven results

Key Partners

- Contract manufacturer (key supplier)
- Equipment resellers that sell to facilities
- Parcel and freight carriers
- Pilot facilities
- Occupational therapists to validate safety

Key Activities

- Manage manufacturing and quality
- Run outreach, demos and pilots
- Measure staff time saved
- Provide support and warranty

Key Resources

- Lever mechanism design and IP
- Manufacturing partner and tooling
- Founding sales team
- Pilot results data
- Inventory capital

Value Propositions

Senior living facilities

- Reduce staff time on routine shoe help (~$136 of aide time per rack per year)
- Increase resident independence: shoes off and stored in one step, no bending
- Reduce shoe clutter and trip hazards

Later: households

- A clutter-free entryway without extra effort

Customer Relationships

Get

- Outreach to administrators; demos and pilots (CAC ~$575 per facility)

Keep

- Support, warranty, feedback

Grow

- More rooms and locations

Channels

Sales

- Direct B2B to administrators; equipment resellers (~30% margin)

Distribution

- Ship direct (~$25/rack) or in bulk to resellers

Customer Segments

Beachhead

- Assisted and independent senior living facilities
- Typical operator: 10 communities, 1,000 apartments, ~300 residents who struggle to bend
- Buyer: regional VP of operations / executive director; users: residents and staff

Later

- Student rental and campus service agencies
- Clutter-conscious families with children

Cost Structure

- Product cost ~$40.75 per rack landed (factory, ocean freight, 35% duty, customs)
- Shipping ~$25 per rack direct; CAC ~$575 per facility
- 30% reseller margin; support, warranty and liability insurance

Revenue Streams

- Asset sale: $149 per rack B2B; $169 DTC to households
- Small first order, then facility-wide orders once value is proven
- Value-based price: ~22% of the ~$680 of staff time a rack saves over 5 years

Customer Segment Assumptions

Validating whether senior living facilities have the need, scale, and purchasing ability to be our beachhead customer



Assisted / Independent Senior Living Facilities

10 communities

1,000 resident apartments

300 residents who struggle to bend (30%)

Who is involved

- **Buyer:** regional VP of operations / executive director
- **Influencer:** wellness director, occupational therapist
- **User:** resident; staff who assist today
- **Payer:** operator (folded into the monthly fee)

Resident Need

Senior living facilities serve a significant number of residents who struggle to independently remove and store their shoes.

Centralized Purchasing

Facilities have the authority and budget to purchase multiple units for residents, rather than requiring residents or families to purchase individually.

Facility Pain Point

Staff currently spend time assisting some residents with taking off, putting on, or putting away shoes, creating a recurring task the product could reduce.

Need at Scale

A single facility has enough residents who could benefit from the product to justify purchasing multiple units.

Value Proposition Assumptions

Testing assumptions on value proposition to beachhead customer to gauge if the product creates enough value for them to act

Reduce staff time on routine shoe help

Pain reliever

We assume:

- Staff spend meaningful time helping residents with shoes
- It happens often enough to add up across every shift
- Facilities value that staff time enough to pay for a fix
- KIX removes a measurable share of that work

Increase resident independence

Gain creator

We assume:

- Many residents struggle to remove/store shoes independently
- Independence in this task matters to residents/facilities
- KIX lets residents do it safely, without help
- Residents prefer KIX to today's options: staff help, shoehorns, benches

Reduce shoe clutter and trip hazards

Pain reliever

We assume:

- Shoes are regularly left in walkways and common areas
- That clutter creates real safety or operational problems
- Staff routinely have to stop and move them
- KIX reliably keeps shoes off the floor

Customer Relationship Assumptions

Validating how we acquire, retain, and grow senior living facility partnerships efficiently and at a sustainable cost

GET

Acquire Senior Living Facilities

1. Direct outreach to facility administrators
2. Product demos and pilot programs
3. Convert demo/pilots into purchases

Assumption: Facilities are willing to evaluate new resident-assistance products through demos or pilots

KEEP

Retain Facilities

1. Customer support and warranty
2. Gather staff/resident feedback for product improvement
3. Maintain relationships with facility purchasing/operations teams

Assumption: Product reliability and ongoing support can maintain the facility relationship

GROW

Expand Within & Across Facilities

1. Expand to more residents/rooms within the facility
2. Encourage administrators to recommend KIX to other facilities
3. Sell across additional locations under the same organization

Assumption: A successful deployment at one facility can lead to additional units and locations

CAC = Total sales & marketing cost to acquire facilities ÷ # of facilities acquired

~$150 sales labor + 5 demos × ($60 unit + $25 shipping) = ~$575 CAC

*prices include an estimated 20% outreach to purchase conversion rate

Channels

Testing how KIX can most efficiently sell to and distribute to senior living facilities

1 Sales Channels



Direct B2B Sales

KIX sells to facility administrators and purchasing teams and ships straight to the facility

Assumptions to validate

- Facilities will buy directly from a manufacturer and agree to demo a new product
- We can reach the right purchasing decision-makers
- Shipping direct to each facility is practical and affordable
- We can win facilities at a sustainable CAC (~$575 per facility)



Reseller Sales

An established equipment supplier carries KIX and sells it to facilities with its other products

Assumptions to validate

- Facilities already buy similar equipment through resellers and prefer it to buying direct
- Resellers are willing to carry KIX
- KIX stays profitable after the reseller's ~30% margin

2 Distribution

Direct B2B distribution

KIX → Ship directly to facility → Facility receives product → Facility provides to residents

Reseller distribution

KIX → Ship in bulk to reseller → Reseller ships to facility → Facility receives product → Facility provides to residents

3 Estimated Channel Economics *per rack, USD, initial assumptions*

Per rack	Direct B2B	Reseller
List price	$149.00	$149.00
Customer / reseller discount	none	-$44.70 (30%)
Selling cost (CAC)	-$19.17 (1)	-$2.00 (3)
Shipping and fulfillment	-$25.00 (2)	-$3.00 (4)
Net to KIX before product cost	**$104.83**	**$99.30**
Product cost at scale	-$40.75 (5)	-$40.75 (5)
Contribution per rack	**$64.08 (43% of list)**	**$58.55 (39% of list)**

Key assumptions

(1) ~$575 sales and marketing cost per facility over a first order of ~30 racks (team assumption)

(2) UPS/FedEx Ground ~$22 per rack (box bills at ~28 lb) + ~$3 pick and pack; a 30-rack order needs ~2 pallets, and pallet freight costs about the same

(3) Lower selling cost via reseller: account support, samples, trade support (team assumption)

(4) Bulk freight to the reseller's warehouse (team assumption; get a truckload quote)

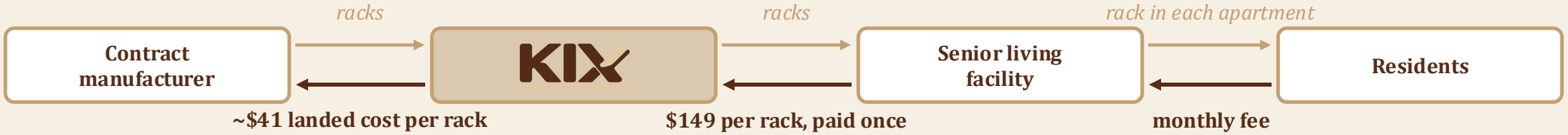
(5) $25 factory + $5.50 ocean freight + $8.75 import duty (35%) + $1.50 customs = $40.75

Revenue Stream

Sell KIX through an asset sale and price using value-based pricing rather than cost-based pricing

Transaction diagram

beige = product **brown = cash**



Revenue model: asset sale that starts small and scales with proven value

1 Revenue Model

Facilities **buy KIX racks outright**: a durable, one-time purchase for them and upfront revenue for KIX

2 Small-Scale Purchase

Facilities start with a small order to **introduce KIX** and **evaluate** it with residents and staff

3 Measure Value

We track **staff time saved** and **resident independence** to show the value KIX creates

4 Scale Purchase

Proven value and willingness to pay lead to **facility-wide orders**, priced on value, not manufacturing cost

Proposed price

$149 *per rack*

B2B to senior living facilities

$169 *per rack*

DTC to households

1 Identify value

~1 min of aide time saved per resident per day

2 Monetize it

6.1 h/yr x $22.37/h (BLS $17.21 + 30% benefits) = ~$136/yr; ~$680 over a 5-yr rack life

3 Capture a share

$149 = ~22% of that value, so the facility pays back in ~13 months

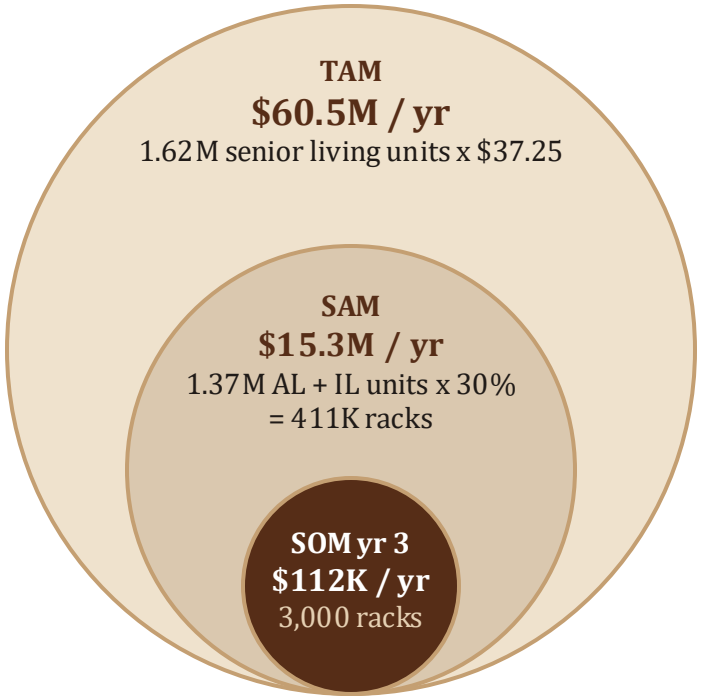
Assumptions to validate

- Facilities buy racks outright rather than lease or subscribe
- A small paid first order converts to facility-wide orders
- KIX saves ~1 min of aide time per resident per day
- Facilities accept $149 per rack; households pay $169
- Facilities absorb the cost; residents pay nothing extra
- Landed cost stays near $41, keeping cost a floor, not the price

Market Sizing

At $149 a rack, one operator is a $44.7K first order; the senior living SAM is ~$15.3M a year

1,000	apartments across 10 communities (assumed)
x 30%	residents who struggle to bend but can stand (assumed)
300	racks per operator
$44,700	first order = 300 racks x $149
x $37.25	per rack per year = $149 x (1/5-year life + 5% loss)
$11,175	annual revenue per operator



If every rack were bought at once:
TAM $242M
SAM $61M
SOM $447K

Why $149 B2B (operators)

- Pays back in ~13 months: ~$136/yr of aide time saved (1 min/day x $17.21/h BLS + 30% benefits)
- In line with daily-living equipment facilities buy: commode $143, over-bed tables $150-200
- 56% gross margin on ~$66 delivered cost (build, import, duty, shipping)

Why $169 DTC (households)

- Inside the $115-245 range for flip-down shoe cabinets
- $20 over B2B covers home delivery (~$27), card fees and ads
- ~$68 left per unit after ~$101 of costs (40% contribution)